

2018

Bachelor in Business Administration

Course Title: **Treasure Management**

Code No: **BNK207** Semester: **8th Semester**

Full Marks: **60** Pass Marks: **24** Time: **3 hours**

Candidates are required to answer the questions in their own words as far as practicable.

Section A

1. Treasury department of bank invest most of money in risky assets to earn high profit.
2. Front office of treasury department monitors open currency position.
3. Revolving deposit is a traditional type of saving deposit.
4. Interbank borrowing is the long-term funds borrowed from the central bank.
5. Statutory liquidity ratio is the maximum amount of liquid fund the bank has to maintain.
6. Overdraft loans are of revolving nature and are to be renewed each year.
7. Maintaining a diversified loan portfolio helps a bank reduce systematic risk.
8. Non-price competition for deposits has tended to distort the allocation of scarce resources in the banking sector.
9. If a bank expected interest rates to fall and if it wanted to profit from the decline, it should increase the duration of assets and shorten the duration of its liabilities.
10. Assets liability committee is known as surplus management of the bank.

Section B

Short Answer Questions:[6 × 5 = 30]

11. Explain the roles and functions of treasury department of commercial bank.
12. How do you differentiate between front-office and back-office of treasury department?
13. Define liquidity risk. How do you mitigate the liquidity risk in commercial bank?
14. The loan pricing strategy has the direct impact on the profitability and goodwill of the bank." Explain the statement.
15. Describe the central bank's regulation regarding asset liability management and treasury.
16. What is investment portfolio? Describe the open market operation and interbank transaction.

Section C

Comprehensive Answer Questions:[2 × 10 = 20]

- 17.** Recent deregulation of the banking industry has encouraged bankers to think creatively about their deposit pricing policies and strategies. In light of this statement, describe the various deposit pricing models of banking sectors.
- 18.** Liquidity management is on-going process to ensure that cash needs can be met at reasonable cost in order for a bank to maintain the required level of reserves with central bank and to meet expected and contingent cash needs. In this connection, describe the estimation of liquidity.